

Unit I – Introduction to Management

The Blueprint for Success

From coordinating resources to inspiring teams, management is the invisible engine that drives every organization forward.

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What is Management?

Management is the **coordination of human and material resources** to achieve organizational goals — the art of getting things done through others.

Efficiency

Doing things **right** — minimizing waste and maximizing output with the resources available.

Effectiveness

Doing the **right things** — choosing goals and strategies that truly matter for long-term success.



The Nature of Management

- Management is Goal-oriented.
- Management is Universal.
- Management is an Integrative Force.
- Management is a Social Process.
- Management is Multidisciplinary.
- Management is Continuous Process.
- Management is Intangible.
- Management is an Art as well as Science.

The Scope of Management



Why Management Matters

Maximizes Efficiency

Reduces waste and ensures resources are deployed where they create the most value.

Bridges Ambition and Reality

Transforms strategic vision into actionable plans and measurable outcomes.

Drives Competitive Advantage

Enables organizations to adapt, innovate, and lead in global markets.

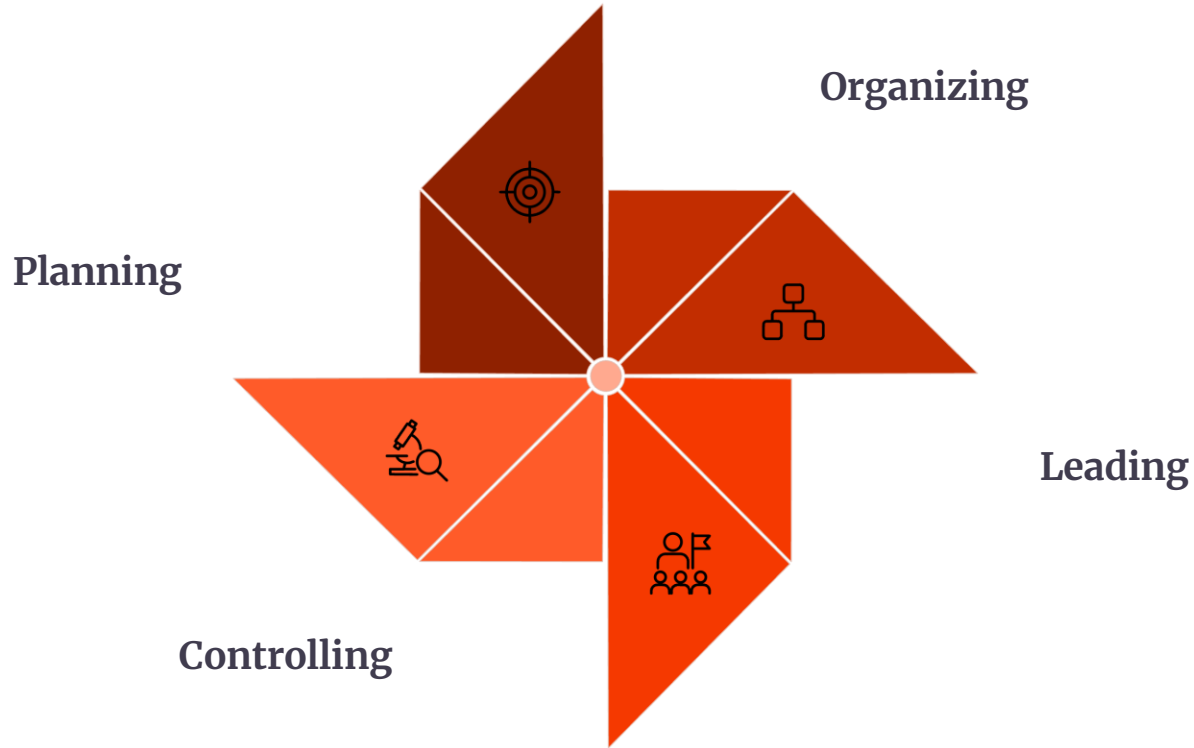
Facilitates Crisis Management

Provides the structure and agility to navigate uncertainty and disruption effectively.



The Four Pillars: Essential Functions

Every manager, regardless of level, operates through four core functions that form the backbone of effective leadership.



The Managerial Toolkit: Skills for Every Level



Effective managers blend three distinct skill sets, with the balance shifting as they move up the hierarchy.

Technical Skills

Job-specific proficiency — most critical at lower management levels.

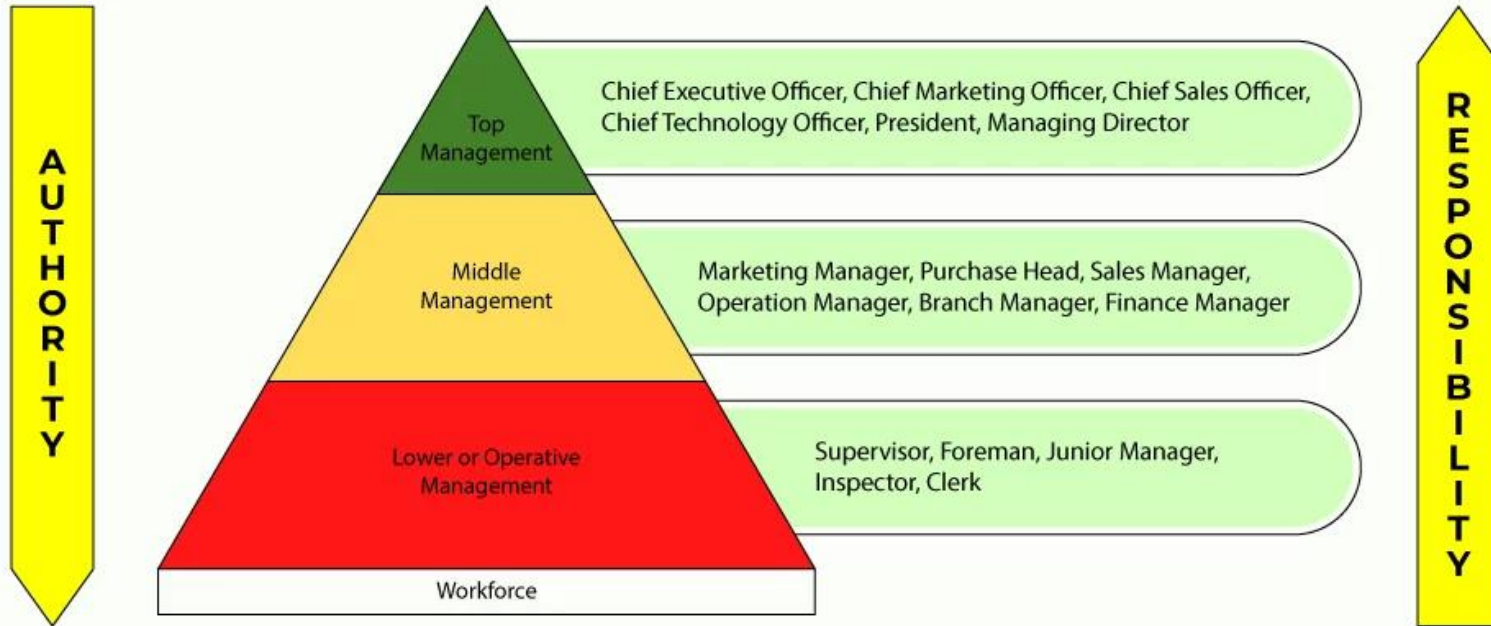
Human Skills

The ability to lead, communicate, and work within groups — vital at all levels.

Conceptual Skills

Analyzing complex, abstract situations — increasingly essential at senior levels.

Levels of Management



LEVELS OF MANAGEMENT

Henry Mintzberg's 10 Managerial Roles

Mintzberg identified ten roles managers perform daily, grouped into three categories.

Interpersonal

- **Figurehead** — symbolic authority
- **Leader** — motivates the team
- **Liaison** — builds networks

Informational

- **Monitor** — gathers information
- **Disseminator** — shares insights
- **Spokesperson** — represents the org

Decisional

- **Entrepreneur** — drives change
- **Disturbance Handler** — resolves crises
- **Resource Allocator** — distributes assets
- **Negotiator** — reaches agreements

Management as Science, Art, and Profession

Features

Management as a Science

- * Systematized Body of Knowledge
- * Observation and Experiments
- * Causes and Effect Relationship
- * Universal Validity

Management as an Art

- * Theoretical Knowledge
- * Personal Skills
- * Creativity
- * Perfection through Practice

Management as a Profession

- * Specialized Knowledge
- * Formal Education and Training
- * Service Motive
- * Statutory Body

Intrapreneurship Examples

Intrapreneur Success Stories

Gmail (Google): Engineer Paul Buchheit used company "20% time" (free time for side projects) to build a fast, searchable email tool that became Gmail.

Play Station (Sony): Engineer Ken Kutaragi wanted to build a custom video game console using sound chips. He fought through company doubt to launch the first Sony PlayStation.

Companies fostering Intrapreneurial Culture

Infosys Zero Distance: Launched as a grassroots internal program to drive innovation, it urged every employee globally to think like an owner and invent minor or major process improvements for ongoing client projects without waiting for top-down mandates.

Hindustan Unilever (HUL): HUL has historically fostered an intrapreneurial culture encouraging local managers to build unique rural distribution models and pioneer fresh regional product variants backed by the parent company's scale.

Tata Group (Tata InnoVista): The Tata group runs structured group-wide platforms like Tata InnoVista to scout, recognize, and fund entrepreneurial ideas and innovations brought forward by employees across various operating companies.

Vision, Mission, Goals, Objectives

Vision

- What it is:** A look into the future.
- Time frame:** Long-term (5 to 10+ years).
- Core question:** "What future do we want to create?"
- Key feature:** Inspiring and aspirational.

Mission

- What it is:** Your core purpose and reason for being.
- Time frame:** Present (today and everyday).
- Core question:** "What do we do, for whom, and why?"
- Key feature:** Action-oriented and defining for daily work

Goals

- What it is:** Broad, general targets on the way to the vision.
- Time frame:** Medium to long-term.
- Core question:** "What major milestone do we need to hit?"
- Key feature:** General direction without strict metrics

Objectives

- What it is:** Specific, exact steps with a hard deadline.
- Time frame:** Short to medium-term (often 3 months to 1 year).
- Core question:** "How do we measure success right now?"
- Key feature:** Usually follows the **SMART** rule (Specific, Measurable, Achievable, Relevant, Time-bound)

Example (e-commerce coffee company): Vision, Mission, Goals, Objectives

Vision Statement

"To create a world where every morning coffee supports a thriving, sustainable planet."

Mission Statement

"We source high-quality, organic coffee beans directly from fair-trade farmers and deliver them fresh to our customers' doors using 100% plastic-free packaging."

Strategic Goals

- Goal 1:** Build a highly loyal customer community.
- Goal 2:** Expand our positive global environmental impact.

Measurable Objectives

- Objective for Goal 1:** Increase our customer repeat-purchase rate by **15%** by December 31.
- Objective for Goal 2:** Transition **100%** of our roasting facility operations to solar energy within the next **6 months**.



Modern Realities: The Evolution of Management



From Hierarchy to Agility

Classical rigid structures are giving way to **adaptive, networked organizations** built for speed and flexibility.



Globalization & Technology

Rapid IT advancements and global markets demand managers who can lead **across borders and time zones**.



Remote & Diverse Teams

Managing distributed, culturally diverse teams requires **new communication and trust-building strategies**.



The Future of Management

Lead with Vision

Constant Learning

Excellence is no longer static.
The best managers are **perpetual students** of their craft.

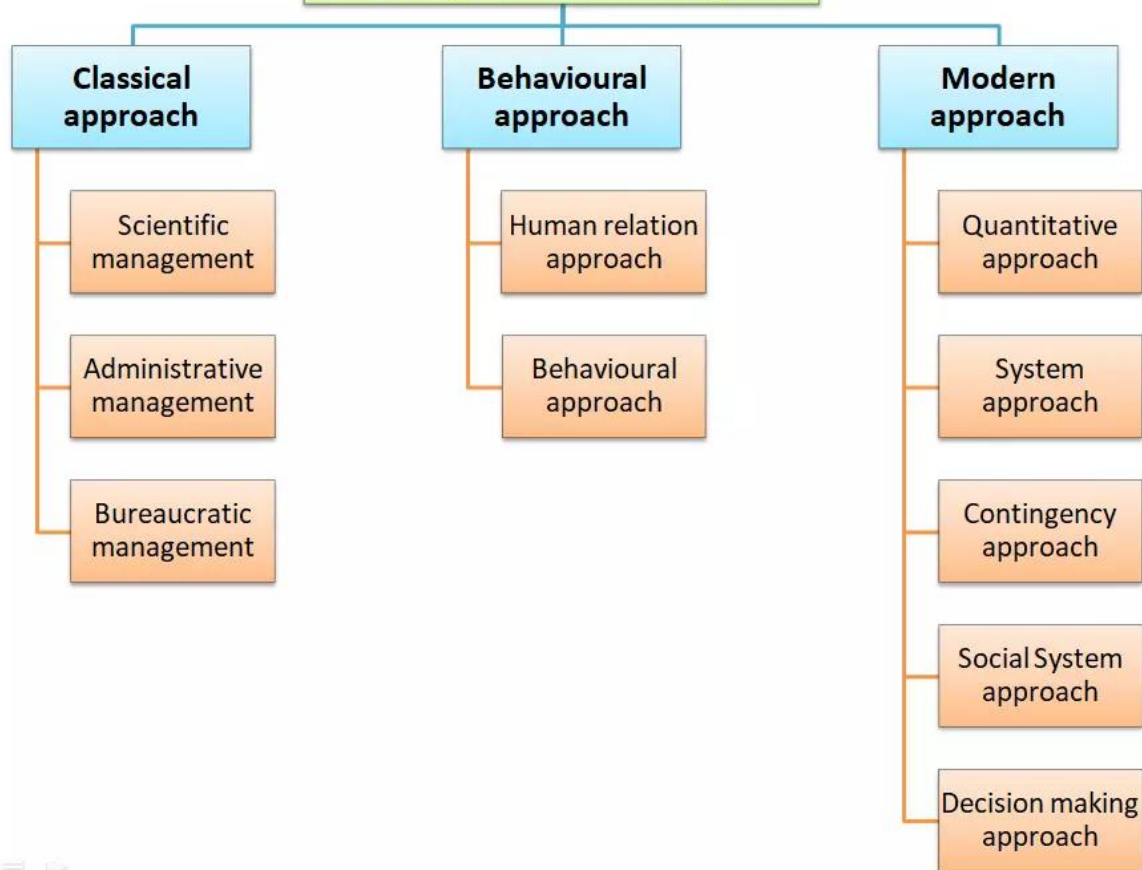
Empower & Innovate

The path forward lies in
empowering teams and
embracing innovation at every
level.

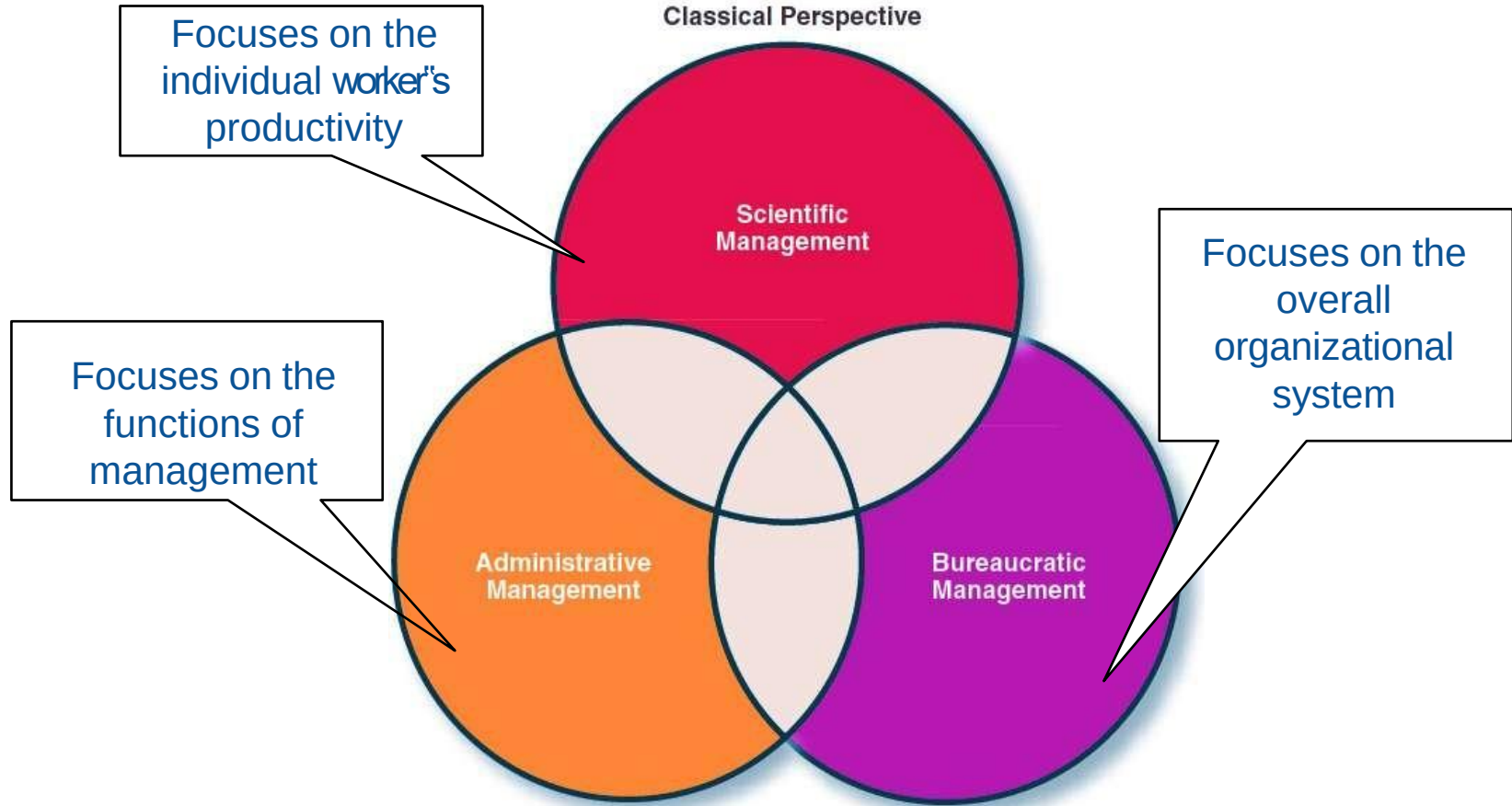
Your Role

Transform resources into **lasting organizational impact** — that is the true purpose of management.

Evolution of management thoughts



CLASSICAL APPROACH



Scientific Management

F.W. Taylor • Time & Motion Study • Gantt Chart

Who Was F.W. Taylor?

Frederick Winslow Taylor (1856–1915)

American mechanical engineer

Known as the “Father of Scientific Management”

Focused on improving worker productivity and efficiency

Developed systematic methods for studying work

Developed Differential Piece-Rate system



Taylor's Journey

Started as a worker/apprentice

Became an engineer and manager

Observed inefficiencies in factories

Studied how work could be performed more efficiently

Developed Scientific Management principles

Taylor's Main Concern

“How can we get more output with less waste of time, effort and resources?”

Workers using different methods

Unnecessary movements

Wastage of time

Lack of standardization

Poor coordination between workers and managers

What is Scientific Management?

Scientific Management is the systematic study of work to identify the most efficient method of performing a task.

Science → Standardization → Efficiency → Higher Productivity

Traditional vs Scientific Approach

Traditional: Rule of thumb → Scientific: Scientific methods

Traditional: Personal judgment → Scientific: Systematic analysis

Traditional: Different methods → Scientific: Standardized methods

Traditional: Limited training → Scientific: Scientific selection & training

Traditional: Conflict → Scientific: Cooperation

Objectives of Scientific Management

- Increase productivity
- Reduce wastage
- Improve efficiency
- Standardize work methods
- Select and train workers scientifically
- Improve cooperation between workers and management
- Increase organizational profitability

Taylor's Four Principles

1. Science, Not Rule of Thumb
2. Harmony, Not Discord
3. Cooperation, Not Individualism
4. Development of Each Person to Their Greatest Efficiency

Time Study

Determines the amount of time a qualified worker should take to complete a task under specified conditions

- Establish standard time
- Identify delays
- Improve productivity
- Plan manpower

Example: Examine whether a 12-minute packing task can reasonably be reduced to 10 minutes.

Motion Study

Examines the individual movements involved in performing a task

- Which movements are necessary?
- Which movements are unnecessary?
- Can movements be eliminated?
- Can the workplace be redesigned?

Frank & Lillian Gilbreth

- Frank B. Gilbreth – pioneer of Motion Study
- Lillian M. Gilbreth – psychologist and management expert
- Studied worker movements in detail
- Focused on eliminating unnecessary movements
- Their work complemented Taylor's Scientific Management

<https://www.youtube.com/watch?v=IDg9REgkCQk>

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Example: Packing a Box

Old process: Pick box → Walk to table → Pick product → Place product → Walk to sealing machine → Seal → Walk to storage

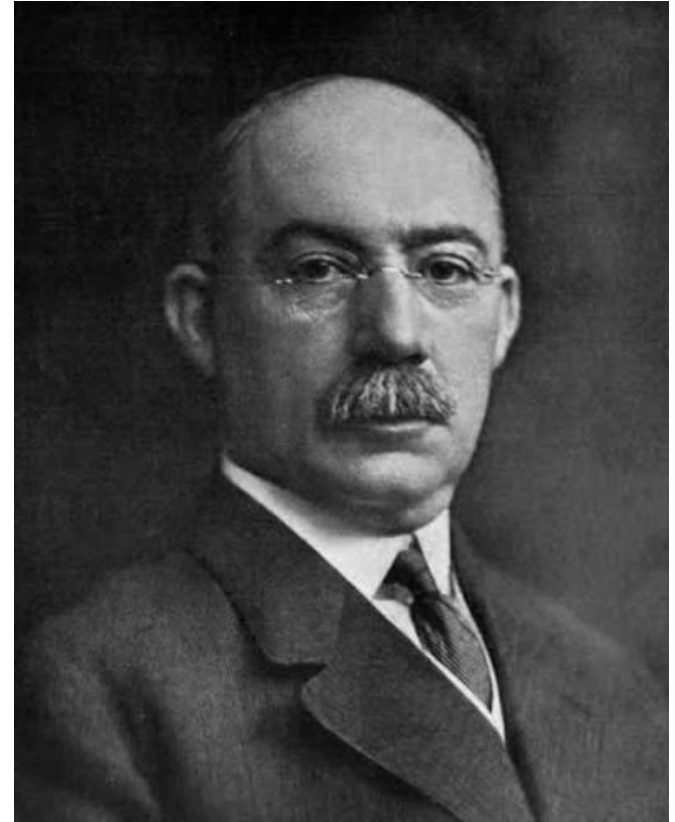
Motion study: Bring materials closer → Rearrange workplace → Reduce walking → Combine movements

Result: Less movement → Less fatigue → Less time → Higher productivity

<https://www.youtube.com/watch?v=UIXZYY53jv8>

Who Was Henry Gantt?

- Henry L. Gantt was an associate of F.W. Taylor
- Contributed to Scientific Management
- Developed the Gantt Chart
- Focused on planning, scheduling and monitoring work
- Also emphasized worker incentives



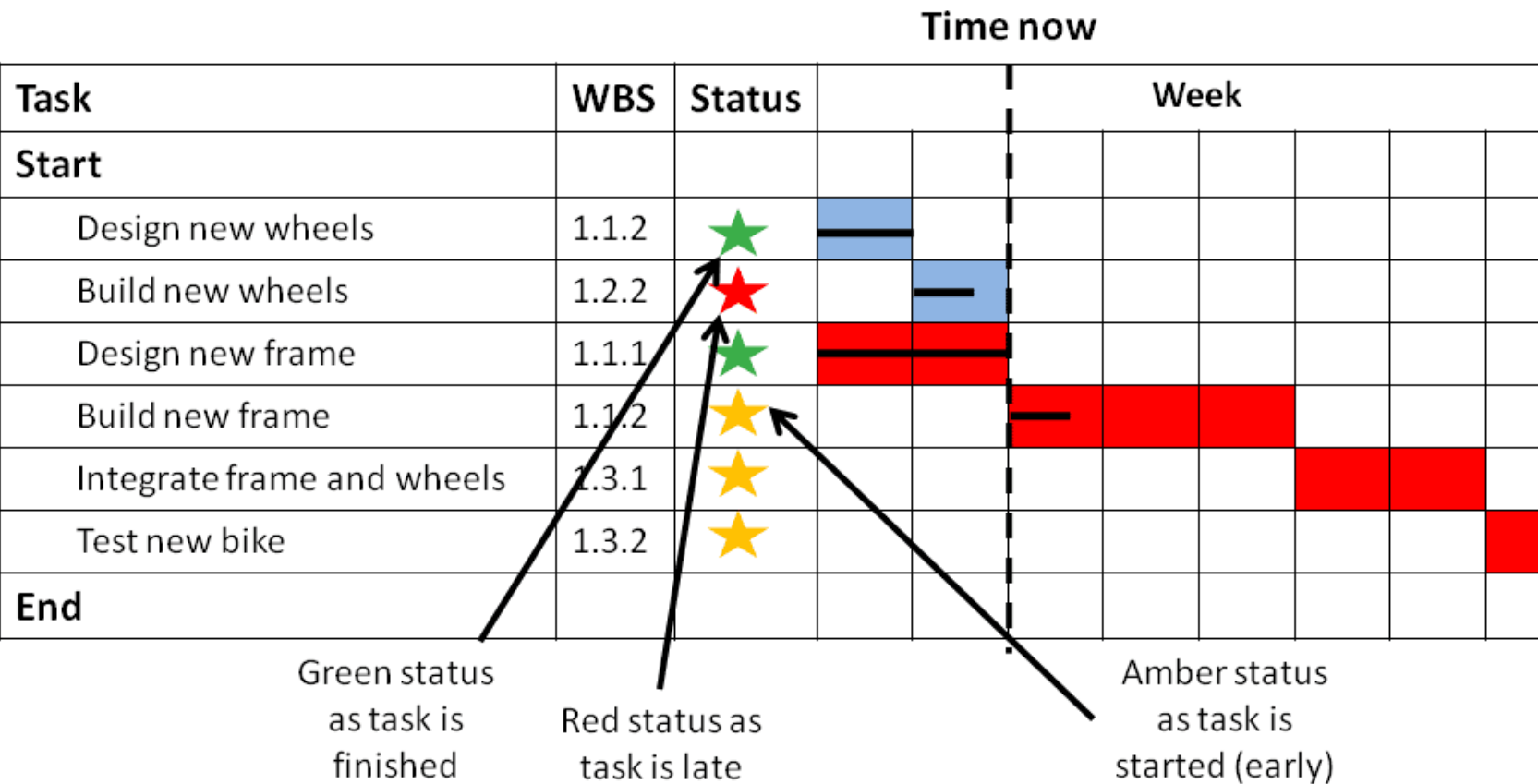
What is a Gantt Chart?

- A visual scheduling tool showing activities, start and finish dates, duration and progress
- Useful for planning and monitoring projects
- Helps managers see overlapping activities and delays

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Illustrative Gantt-Style Schedule



Uses of Gantt Chart

- Project planning
- Scheduling activities
- Monitoring progress
- Identifying delays
- Allocating resources
- Coordinating different activities
- Taking corrective action

Key Takeaways

Taylor → Find the best scientific method

Gilbreths → Eliminate unnecessary movements

Gantt → Plan and schedule the work

Scientific Study → Better Method → Less Waste & Effort → Higher Efficiency → Higher Productivity

Henry Fayol's Administrative Management

Principles, Functions and Applications

Who Was Henry Fayol?

Henry Fayol (1841–1925) was a French mining engineer, industrialist and management thinker.

He worked for the **mining company**.

He eventually became its Managing Director.

His practical experience in managing a large organization shaped his ideas about management.

He is widely regarded as one of the major contributors to **classical management theory**.



“Fayol was not only a theorist—his ideas came largely from his experience as a senior manager.”

What Problem Was Fayol Trying to Solve?

The Management Problem

As organizations became larger:

- Managers had to coordinate many employees.
- Departments needed to work together.
- Decisions had to be made systematically.
- Organizations needed discipline and coordination.
- Managers needed guidance on **how to manage**, not just how to perform individual tasks.

Key idea:

Taylor focused heavily on **efficiency at the worker/task level**.

Fayol focused on **management of the organization as a whole**.



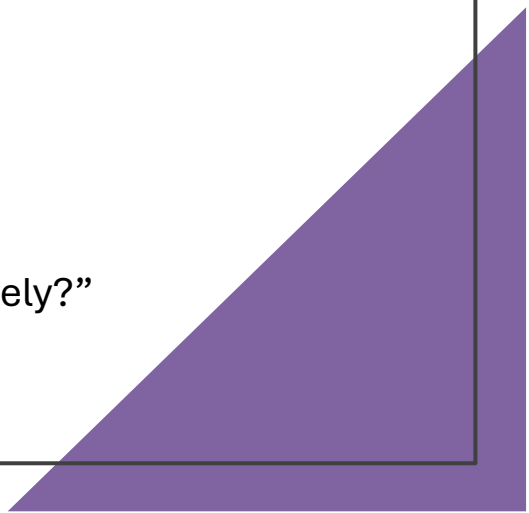
What Is Administrative Management?

Administrative Management is an approach that focuses on:

- How organizations should be structured
- How managers should perform their functions
- How activities should be coordinated
- How authority and responsibility should be organized
- How organizations can achieve their objectives efficiently

Fayol's central question:

“What should managers do to manage an organization effectively?”



Fayol's Five Functions of Management



Planning



Organizing



Commanding



Coordinating



Controlling

The 14 Principles of Henry Fayol

1. Division of work

2. Authority and responsibility

3. Discipline

4. Unity of command

5. Unity of direction

6. Subordination of individual interest to the common good

7. Remuneration of personnel

8. Centralization

9. Scalar chain

10. Order

11. Equity

12. Stability

13. Initiative

14. Esprit de corps



Fayol's Principles in One View

Principle

Division of Work

Authority &
Responsibility

Discipline

Unity of Command

Unity of Direction

Subordination

Remuneration

Centralization

Scalar Chain

Order

Equity

Stability

Initiative

Esprit de Corps

Simple Meaning

Specialization

Power must match
accountability

Follow rules

One boss

One plan for one objective

Organization before self

Fair pay

Appropriate concentration
of authority

Clear hierarchy

Right place/person

Fair treatment

Employee retention

Encourage ideas

Team spirit

Why Is Fayol Still Relevant Today?

Fayol's Principle

Division of Work

Unity of Command

Initiative

Equity

Esprit de Corps

Scalar Chain

Planning

Controlling

Modern Practice

Job specialization

Reporting relationships

Employee empowerment

Fair workplace practices

Team building

Organizational hierarchy

Strategic planning

KPIs & performance
management

Fayol vs. Taylor

F.W. Taylor	Henry Fayol
Scientific Management	Administrative Management
Focused on workers and tasks	Focused on managers and organization
Shop-floor efficiency	Overall organizational effectiveness
Time & motion studies	Management principles
Scientific selection & training	Planning, organizing, directing, etc.
Bottom-level/operational focus	Top-level/administrative focus

Bureaucratic Management Theory – Max Weber

- Max Weber, a **German sociologist**, developed this concept in the early 20th century to address the inefficiencies he observed in traditional management systems.
- Weber's bureaucratic model aimed to create a **more rational and organized way** of managing complex organisations.
- Bureaucracies are characterized by **standardized procedures, detailed regulations, and a strong emphasis on impartiality and professionalism**.
- Bureaucratic management refers to an organizational structure and set of administrative principles prioritizing **formal rules, fixed responsibilities, and a clear hierarchy of authority**.



Principles of Bureaucratic Management



E.g. State and Governmental Administration, Armed Forces

Pros and Cons of Bureaucratic Management

Pros

1. Consistency and Predictability:
2. Clear Hierarchy and Accountability:
3. Efficiency Through Specialization:
4. Impartiality and Fairness:
5. Documentation and Record Keeping:
6. Benefits for the employees:

Cons

1. Rigidity and Inflexibility:
2. Slow Decision-Making:
3. Lack of Motivation and Creativity:
4. Overemphasis on Rules:
5. Potential for Alienation:
6. Communication Hindrance:

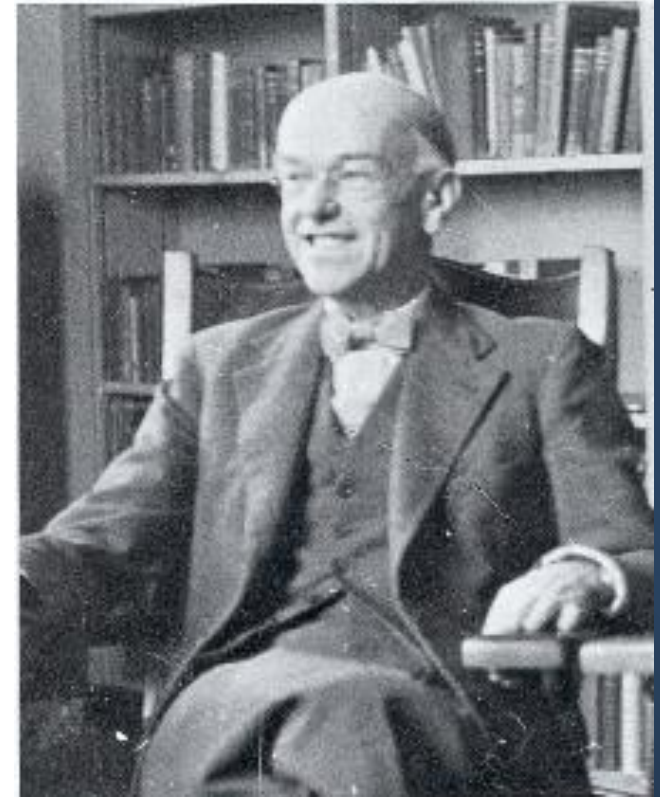
Human Relations Theory By Elton Mayo (Behavioral Approach)

- The early twentieth century witnessed tremendous industrial growth that reshaped the nature of work and management practices.
- Organizations transitioned from craft-based production to large-scale factories, emphasizing efficiency and output.
- But, classical approach often overlook the psychological and social needs of workers.
- It was Elton Mayo and his colleagues at Harvard University who challenged this mechanical view of labor by introducing the Human Relations Theory, which highlighted the importance of human behavior, motivation, and group dynamics in the workplace.



Human Relations Theory

- **George Elton Mayo** (26 December 1880 – 7 September 1949) was an Australian-born psychologist.
- Elton Mayo, often regarded as the “father of human relations,” developed his theory during the famous Hawthorne Studies (1924–1932) at the Western Electric Company in Chicago.
- Originally the study designed to measure the **relationship between physical working conditions and productivity**,
- The study unexpectedly revealed that **social and psychological factors played a more significant role** in determining worker performance than environmental or economic variables.



1. Illumination Experiments (1924–1927)



Goal: Test the impact of lighting levels on worker productivity.



Process: Researchers changed light intensity up and down for one group while keeping a control group's lighting steady.



Result: Productivity increased in both groups even when the lighting became very dim.



Conclusion: Physical lighting was not the primary driver of output.

2. Relay Assembly Test Room Study (1927–1932)



Goal: Examine the effect of working conditions—such as rest breaks, work hours, and temperature—on a small group of female workers.



Process: Researchers altered conditions repeatedly and consulted the workers about the changes.



Result: Output rose steadily regardless of whether conditions improved or worsened.



Conclusion: Being singled out for attention and developing strong social bonds within the team boosted morale and performance. This gave rise to the **Hawthorne effect**.

3. Mass Interviewing Program (1928–1930)



Understand employee attitudes and feelings about their supervisors and working conditions.



Process: Conducted over 21,000 interviews with plant employees.



Result: Allowing workers to openly vent and talk about their grievances improved their overall job satisfaction.



Conclusion: Personal background, company culture, and interpersonal relationships heavily influence productivity and morale.

4. Bank Wiring Observation Room Experiment (1931–1932)



Goal: Observe informal group dynamics and group pressure on output.



Process: Watched a group of male wiremen and inspectors doing regular factory work with group incentive plans.



Result: Workers restricted their output voluntarily to match an unwritten group norm of what constituted a "fair day's work," ostracizing faster workers.



Conclusion: Informal social groups and peer pressure have a stronger influence on productivity than formal management incentives.

Key Conclusions of Hawthorne Experiments



The Hawthorne Effect: Workers improved their performance simply because they knew they were being observed and given special attention by researchers.



Social and Group Dynamics: Informal peer groups, workplace friendships, and group norms have a massive impact on how much work gets done.



Non-Financial Motivators: Recognition, a sense of belonging, and feeling valued by management matter more to employees than physical incentives like lighting changes or base pay.



Shift in Management Style: The experiments proved that companies are complex social systems, leading to the "human relations" movement in management theory instead of strict, old-school scientific control.



Modern Approaches to Management

Quantitative approach

System approach

Contingency approach

Social System Approach

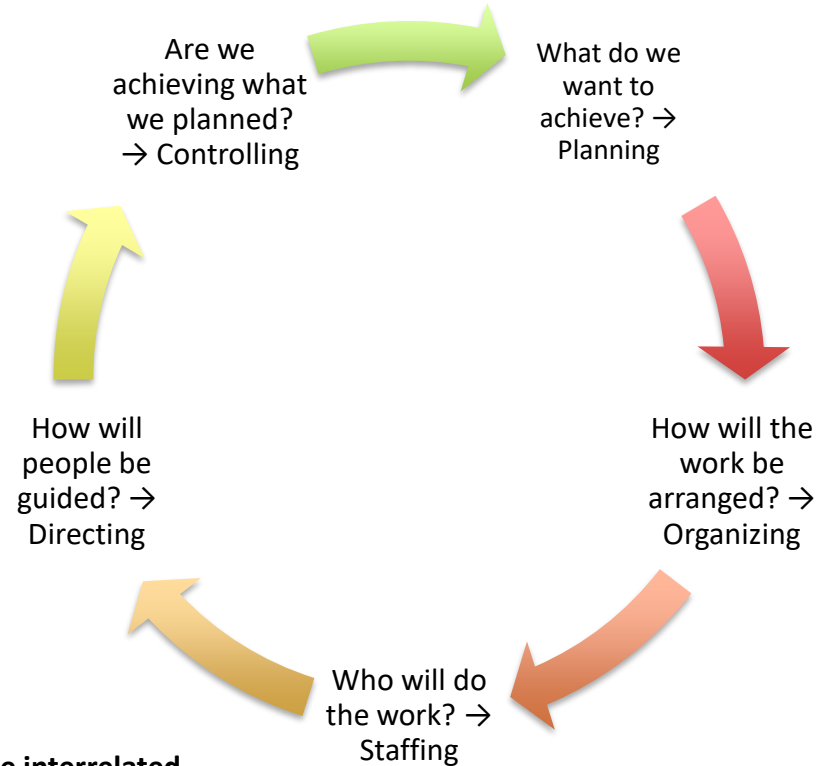
Decision theory approach



Functions of Management

Planning | Organizing | Staffing | Directing |
Controlling

Why are Functions of Management Important?



These functions are interrelated and continuous.

The Five Functions at a Glance



PLANNING → Deciding what needs to be done



ORGANIZING → Arranging resources and activities



STAFFING → Getting the right people for the right jobs

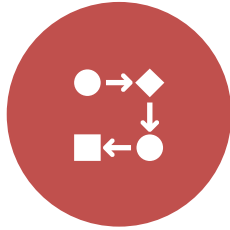


DIRECTING → Guiding and motivating employees



CONTROLLING → Checking performance and correcting deviations

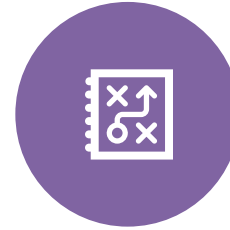
1. Planning – What is Planning?



PLANNING MEANS
DECIDING IN ADVANCE
WHAT IS TO BE DONE,
WHY, HOW, WHEN AND
BY WHOM.



EXAMPLE: BEFORE
LAUNCHING A NEW
PRODUCT,
MANAGEMENT
DECIDES THE TARGET
CUSTOMERS, SALES
TARGET, BUDGET,
LAUNCH DATE AND
MARKETING STRATEGY.



PLANNING = DECIDING
THE FUTURE COURSE
OF ACTION.

Importance of Planning

Sets clear
objectives

Reduces
uncertainty

Identifies
opportunities and
threats

Uses resources
efficiently

Coordinates
activities

Establishes
performance
standards

Prepares the
organization for
future challenges

2. Organizing – What is Organizing?

Organizing	Organizing means arranging resources and activities to achieve planned objectives.
Dividing	Dividing work
Assigning	Assigning responsibilities
Establishing	Establishing authority
Creating	Creating departments
Coordinating	Coordinating activities
Organizing	Organizing = Putting resources and people in the right structure.

Importance of Organizing

Clarifies roles and responsibilities

Avoids duplication of work

Establishes authority relationships

Improves coordination

Facilitates specialization

Makes better use of resources

Key question: Who will do what, and who will report to whom?

3. Staffing – What is Staffing?

Staffing means acquiring, developing and retaining the right people for organizational jobs.

Manpower Planning → Recruitment → Selection → Placement → Training → Performance Appraisal → Compensation
→ Career Development

Example: A new branch may need a Branch Manager, Sales Executives, Accountant and Customer Service Executives.

Staffing = Getting the right person for the right job at the right time.

Importance of Staffing

Gets competent employees

Matches people with suitable jobs

Develops employee skills

Improves productivity

Reduces employee turnover

Builds future leaders

Machines and technology cannot achieve organizational goals without capable people.

4. Directing – What is Directing?

Directing means **guiding, supervising, motivating and leading** employees to achieve organizational objectives.

- Leadership
- Communication
- Motivation
- Supervision
- **Example:** A sales manager explains targets, guides salespeople, motivates the team, solves problems and gives feedback.

Directing = Getting people to take action.



Elements of Directing



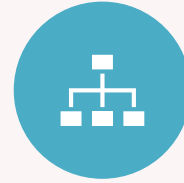
LEADERSHIP –
INFLUENCING
EMPLOYEES TO
ACHIEVE GOALS.



MOTIVATION –
ENCOURAGING
EMPLOYEES TO
PERFORM BETTER.



COMMUNICATION
– SHARING
INFORMATION,
INSTRUCTIONS
AND FEEDBACK.



SUPERVISION –
MONITORING AND
GUIDING
EMPLOYEES WHILE
THEY WORK.



KEY QUESTION:
HOW CAN WE
MAKE PEOPLE
WORK WILLINGLY
AND EFFECTIVELY?

5. Controlling – What is Controlling?



Controlling means measuring actual performance, comparing it with planned standards and taking corrective action when necessary.



Set standards → measure actual performance → compare → identify deviations → take corrective action



Example: target sales = ₹10 lakh; actual sales = ₹8 lakh. Management investigates the ₹2 lakh shortfall and takes corrective action.

Importance of Controlling

Ensures achievement of objectives

Identifies mistakes and deviations

Improves employee performance

Ensures efficient use of resources

Maintains standards

Enables corrective action

Improves future planning

Controlling is not simply finding faults; it is about identifying deviations and improving performance.

How the Five Functions are Connected

PLANNING – What should we achieve?



ORGANIZING – How should we arrange the work?



STAFFING – Who will do the work?



DIRECTING – How will we guide them?



CONTROLLING – Are we achieving the planned results?

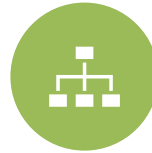


Feedback to Planning

Integrated Example: Organizing a College Fest



Planning: Decide date, budget, objectives and activities.



Organizing: Create committees for finance, marketing, logistics and hospitality.



Staffing: Select faculty coordinators and student volunteers.



Directing: Guide, motivate and communicate responsibilities.



Controlling: Compare actual expenditure, attendance and activities with the plan.



Result: A successful college fest through effective management.

A wooden desk with a yellow mug of coffee, a smartphone, an open notebook with sketches, a closed black notebook, and pens.

Quick Classroom Activity – You are the Manager!

- Imagine you are managing a new café.
- What will you PLAN?
- How will you ORGANIZE the café?
- What employees will you need for STAFFING?
- How will you DIRECT and MOTIVATE them?
- What will you CONTROL?
- Time: 5 minutes | Think → Discuss → Share

Key Takeaways

Planning – What should we do? → Setting objectives

Organizing – How should we do it? → Arranging resources

Staffing – Who will do it? → Managing people

Directing – How will we make it happen? → Leading & motivating

Controlling – Are we achieving it? → Measuring & correcting

Remember: PLAN
→ ORGANIZE →
STAFF → DIRECT →
CONTROL

Thank you

